

# Power Finance Corporation Ltd

PFC

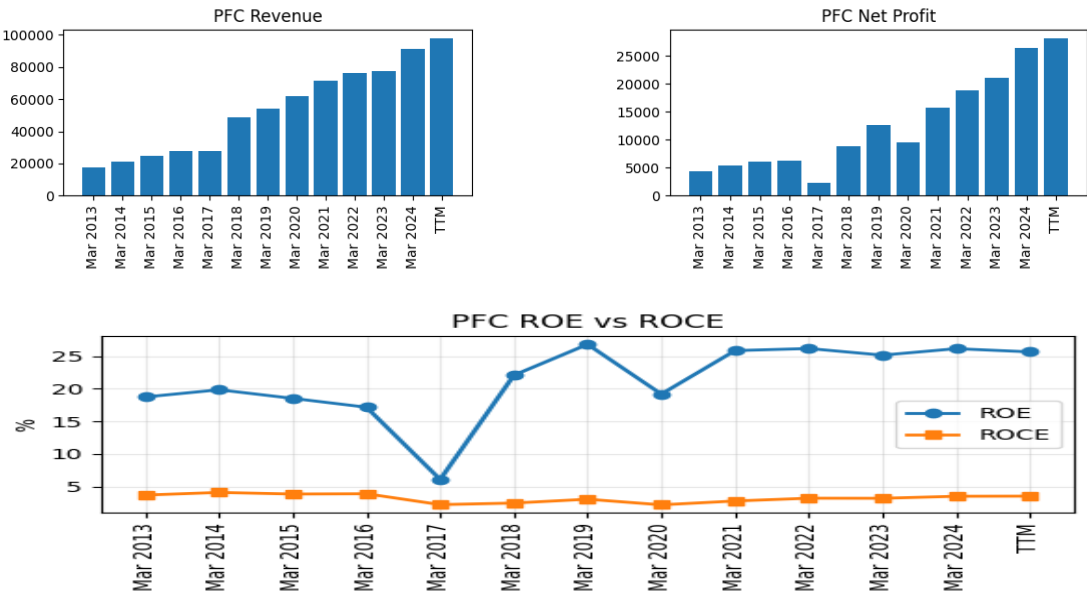
## Key Financial Metrics

|                               |                                   |                               |
|-------------------------------|-----------------------------------|-------------------------------|
| <b>ROE</b><br>25.67%          | <b>ROCE</b><br>3.50%              | <b>Debt / Equity</b><br>8.27  |
| <b>Revenue CAGR</b><br>16.34% | <b>FCF Conversion</b><br>-369.68% | <b>Quality Score</b><br>29.29 |

## Company Profile

|                          |                               |
|--------------------------|-------------------------------|
| <b>Company</b>           | Power Finance Corporation Ltd |
| <b>Sector</b>            | Financials                    |
| <b>Industry</b>          | Speciality Finance            |
| <b>Market Cap (■ Cr)</b> | 2,011,885.81                  |
| <b>P/E Ratio</b>         | 35.60                         |
| <b>P/B Ratio</b>         | 6.59                          |
| <b>Dividend Yield</b>    | 0.42%                         |

## Financial Performance



## AI Investment Summary

Power Finance Corporation Ltd currently faces multiple financial challenges that increase investment risk. It currently has excellent profitability, average capital efficiency, rapid revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 29.3/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Low interest coverage indicates potential difficulty servicing debt if earnings fall.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

| Pros                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Cons                                                                                                                                                                                                                                                                                                                                                                                                               |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div><ul style="list-style-type: none"><li>• Consistently high return on equity above 20% demonstrates exceptional capital efficiency.</li><li>• Profits are compounding faster than revenue, indicating improving operating leverage and scalability.</li><li>• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.</li><li>• Operating profit margin above 25% indicates strong pricing power and cost discipline.</li></ul></div> | <div><ul style="list-style-type: none"><li>• High leverage relative to equity can restrict future capital flexibility.</li><li>• Return on capital employed below 10% indicates weak capital efficiency.</li><li>• Low interest coverage indicates potential difficulty servicing debt if earnings fall.</li><li>• Two consecutive years of negative free cash flow point to weak cash generation.</li></ul></div> |

Investment Recommendation

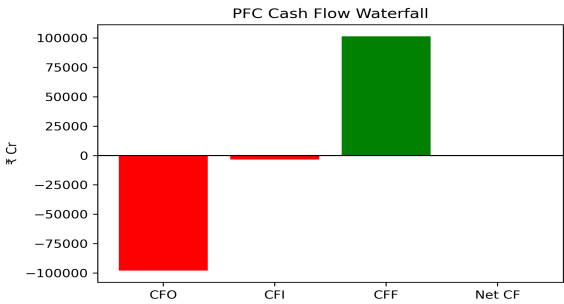
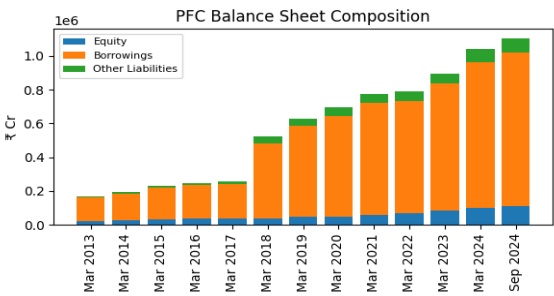
|                |           |
|----------------|-----------|
| Recommendation | AVOID     |
| Risk Level     | VERY HIGH |
| Confidence     | LOW       |

Recommendation Reason:

The recommendation is based on an adjusted financial score of 29.3/100, supported by 4 identified strengths, 4 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 29.3

Balance Sheet & Cash Flow



Financial Health

|               |        |
|---------------|--------|
| Profitability | Strong |
|---------------|--------|

|           |        |
|-----------|--------|
| Growth    | Strong |
| Cash Flow | Weak   |
| Leverage  | Weak   |
| Valuation | Fair   |

## Capital Allocation

Growth Funded by Debt